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In The
Supreme Court of the United States
October Term, 1995

ALAN MEGHRIG AND MARGARET MEGHRIG,
Petitioners,
vs.

KFC WESTERN, INC.,
Respondent.

On Writ Of Certiorari To The
United States Court Of Appeals
For The Ninth Circuit

PETITIONERS' REPLY BRIEF ON THE MERITS

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I. INTRODUCTION/SUMMARY OF ARGUMENT

It is difficult to know where to begin to respond to the over 150 pages of argument and authorities submitted by Respondent and five different *amici curiae* in opposition to Petitioners' Brief on the Merits.¹ Respondent and its supporting *amici* barely discuss the extensive statutory analysis set forth in Petitioners' Brief on the Merits (which analysis also formed the backbone of the Petition for Writ of Certiorari granted by this Court) and also spend little time addressing the conflicting decisions rendered by the Ninth Circuit and the Eighth Circuit courts of appeal. Instead, Respondent and its supporting *amici* attempt an end run by fashioning an entirely new analytical focus: they contend that federal district courts have broad, inherent authority to render equitable relief and that Respondent here seeks equitable restitution, not damages.

That analysis is seriously flawed because it proceeds from a series of false assumptions, the most notable of which include:

1. A misapprehension of the limited jurisdiction of federal courts to render equitable relief in the face of a statute such as the RCRA citizen suit provision here at issue;
2. A mischaracterization of this action as an equitable restitution case; and
3. A pervasive, but absolutely erroneous, inference that the citizen suit provision of RCRA is the only remedy available where solid or hazardous waste presents an imminent and substantial endangerment to public health or the environment.

In attempting to carry forward this set of false assumptions, Respondent and its supporting *amici* fail to meaningfully address several critical features of the RCRA citizen suit provision, as well as established authority of this Court and others:

1. Federal courts are courts of limited jurisdiction and do not have unbridled authority to grant equitable relief;
2. The full text of the jurisdictional section of the RCRA citizen suit provision, not the excerpted portion repeatedly quoted by

¹ Although the United States has ostensibly filed a brief in support of Petitioners, that brief only supports Petitioners with respect to one of the two issues framed by this appeal, the imminent and substantial endangerment issue, and supports Respondent's equitable restitution argument as to the second issue.

Respondent and its *amici*, evinces an intent to limit the relief available to citizen plaintiffs;

3. Other, related portions of the RCRA citizen suit provision reaffirm the limitation of that provision to injunctive relief, not post-cleanup suits to recover monies expended;

4. The RCRA citizen suit provision does not exist in a vacuum, but is one of a series of similar citizen suit provisions, contained in federal environmental statutes, each with a legislative history that confirms Congress' intent to limit the remedies available to citizen plaintiffs;

5. This Court's teachings in *Gwaltney* and *Sea Clammers* reaffirm the limited relief available to citizen plaintiffs under federal environmental statutes and the need to follow the words of the statute itself;

6. The legislative history of RCRA's citizen suit provision further confirms Congress' intent to limit the relief available in citizen suit actions;

7. The language and structure of the RCRA citizen suit provision require that an imminent and substantial endangerment exist at the time suit is filed;

8. There is a well established body of state common law and statutory remedies for environmental contamination. In the 20 years since RCRA was first enacted, those common law and statutory remedies have consistently been relied on to afford both injunctive relief and cost recovery to injured plaintiffs; and

9. The leading authorities have long recognized a distinction between a claim in restitution seeking to have something wrongfully acquired by a defendant returned to a plaintiff and "damages", seeking to compensate a plaintiff for monies expended.

Although Respondent and its *amici* have erected an elaborate analytical pyramid, the foundations of that pyramid are unsound. One cannot simply sidestep the words of the statute, or 25 years of legislative history which traverses a number of federal environmental statutes, or this Court's precedents, or the past 20 years-plus of common law and statutory development of property contamination cleanup law in favor of an assertion that a claim for reimbursement of costs is really an equitable claim that federal courts have broad authority to adjudicate as a matter of "fairness". Neither does lining up

a set of *amici* to reiterate these assertions turn a flawed argument into a dispositive one.

Finally, lest Respondent's repeated incantations of considerations of "fairness" and "conscience" create a misimpression of the equities here, it will be well to remember the Petitioners and how fairness impacts them. Although this federal action continues to be fought based solely on the pleadings, the parallel state court action brought by KFC has moved ahead through two demurrers, an appeal and a summary judgment in favor of defendants. Thus, several important facts have now been established beyond dispute:

a. The Petitioners were teenaged siblings when they first took title to the property, title having been placed in their name by their father in 1963, unbeknownst to them. (J.A. 24)

b. Petitioners sold the property to their lessee, KFC, in 1975. At no time between 1963 and 1975, or at any other time, did the Petitioners ever cause or contribute to any contamination on the property. (J.A. 25)

c. There is no evidence that any contamination in fact occurred – whether caused by the Petitioners or someone else – while the Petitioners owned the property between 1963 and 1975. (J.A. 25)

d. There *is* evidence that service stations were operated on the subject property by persons never sued by Respondent for approximately 45 years before Petitioners bought it. (J.A. 5-20)

e. The Petitioners, who had nothing to do with any contamination on the property, are faced, 20 years after they last owned the property and several years after contamination was discovered, with a claim that has no express statute of limitations associated with it, and only serves to prolong their agony.

II. RESPONDENT AND ITS SUPPORTING AMICI IGNORE THE PLAIN LANGUAGE OF THE JURISDICTIONAL STATEMENT AND RELATED PORTIONS OF THE RCRA CITIZEN SUIT PROVISION, AND THE BROADER STATUTORY AND COMMON LAW ENVIRONMENTAL CONTEXT

Reviewing the brief for the Petitioners and the brief for the Respondent may create an impression that two entirely different

statutes are being discussed. That is because the brief for the Respondent largely ignores the thorough statutory construction analysis advanced by Petitioners in favor of a more generalized series of assumptions tied to Respondent's view of fairness. But that fairness analysis is no substitute for a disciplined review of the language of this particular statute, the legislative history of both the RCRA citizen suit provision and federal environmental citizen suit provisions in general, and the many alternative remedies available to parties faced with environmental contamination. Those subjects are treated more fully in the opening brief for the Petitioners, but we summarily review them here in order to point up the breakdown in the analysis of Respondent and its supporting *amici*.

A. The Jurisdictional Statement and Related Portions Of The RCRA Citizen Suit Provision Reaffirm The Limited Nature Of The District Courts' Jurisdiction.

Respondent and several of its supporting *amici* have a common habit of quoting only excerpts of the jurisdictional statement of the RCRA citizen suit provision. They characterize the statute as one granting district courts jurisdiction "to restrain any person" or to take "such other action as may be necessary". (Louisiana *Amicus* Br. 6, 8; Resp. Br., 8; K&B *Amicus* Br., 6, 10, 15.)² But what the RCRA jurisdictional statement in fact says is that the "district court shall have jurisdiction . . . to restrain any person . . . to order such person to take such other action as may be necessary, or both". (Pet. App. 28.) Thus, the plain words of the jurisdictional statement do not authorize the

² We have adopted the following shorthand references to the various briefs filed in support of Respondent: (a) the brief for the Respondent will be referred to as "Resp. Br."; (b) the Brief for the United States as *Amicus Curiae* Supporting Petitioners is referred to simply as "U.S. *Amicus* Br."; (c) the brief of *Amici Curiae* Massachusetts, Missouri, Alaska, Florida, Guam, Kansas, Kentucky, Louisiana, Nevada, New Jersey, New Mexico, New York, West Virginia and Wisconsin is referred to as "Mass., et al. *Amicus* Br."; (d) the brief of the Bi-State Development Agency of Missouri-Illinois Metropolitan District as *Amicus Curiae* Supporting Respondent is referred to as "Bi-State *Amicus* Br."; (e) the brief for the State of Louisiana through its Department of Transportation and Development as *Amicus Curiae* in Support of Respondent is referred to as "Louisiana *Amicus* Br."; (f) the brief of Kaufman and Broad Home Corporation and Kaufman and Broad South Bay, Inc. as *Amici Curiae* supporting Respondents is referred to as "K&B *Amicus* Br."

district courts to broadly "take such other action as may be necessary," but authorize those courts to restrain a person or to order a person to take other necessary action, or both, and nothing more.

That this jurisdictional section authorizes the district courts to provide injunctive relief to citizen plaintiffs and not monetary damages is confirmed by several additional portions of the citizen suit provision:

1. Citizen plaintiffs must give 90 days notice to the EPA, to the State, and to the alleged contaminator before undertaking a suit. If citizens like Respondent KFC were authorized to clean up property without giving notice, and then sue to recover their costs, this 90 days notice requirement would make little or no sense. (Pet. Br., pp. 19-20)³;

2. Should EPA or the State elect to take charge of the contaminated site, a citizen suit is barred. (Pet. Br., p. 29);

3. There is no express statute of limitations provided for RCRA citizen suits, as contrasted with other federal environmental cost recovery statutes. (Pet. Br., pp. 23-24);

4. There is no set of guidelines for determining how the reasonableness of cleanup costs sought to be recovered under RCRA should be evaluated, as contrasted with the extensive regulations defining reasonableness under CERCLA, the primary environmental cost recovery statute. (Pet. Br., pp. 23-24);

5. The RCRA citizen suit provision authorizes an award of attorneys fees, while the primary federal environmental cost recovery statute, CERCLA, does not. This inconsistency strongly indicates that Congress viewed the jurisdictional reach of RCRA as less than that of CERCLA, since it chose not to provide an attorneys fees provision in that latter statute. (Pet. Br., p. 26.)

³ Respondent KFC argues (Resp. Br., p. 10) that the notice provisions serve a purpose even when provided post-cleanup. But the "purposes" noted by Respondent are entirely *de minimis* and are unsupported by any legislative history or other evidence of that purpose.

B. The Federal Environmental Statutory Framework, As Well As Its Legislative History And the Legislative History Of The RCRA Citizen Suit Provision, Reaffirm The Limited Jurisdiction Of The District Courts

We will not repeat the extensive analysis of the federal environmental statutory framework within which RCRA fits. (Pet. Br. at pp. 26-34.) Suffice it to note at this juncture, however, that RCRA is one of several federal environmental statutes which contain similar citizen suit provisions. The legislative history of each of the statutes, beginning with the 1970 Clean Air Act⁴ and flowing through subsequently enacted federal environmental statutes, confirms congressional intent to limit the remedies available to citizen plaintiffs by excluding jurisdiction to award damages. This concern was once again expressly reaffirmed in the legislative history of RCRA itself.⁵

C. Congress Did Not Intend The RCRA Citizen Suit Provision To Supplant CERCLA By Providing A Mechanism In RCRA To Recover Cleanup Costs

Petitioners have argued that, given the cost recovery remedy in CERCLA, the primary federal environmental contamination statute, and the limitations imposed on that remedy by Congress, Congress did not intend to create a more sweeping cost recovery remedy under RCRA by authorizing citizen suits to "restrain" or to "order such person to take such action as may be necessary". (Pet. Br. at 22-26). Respondent counters that allowing a RCRA cost recovery remedy

⁴ This Court has examined environmental citizen suit provisions on three occasions, in *Gwaltney, Sea Clammers* and *Hallstrom*. On each occasion, this Court referenced the legislative histories of the various environmental citizen suit provisions back to the genesis of these provisions, in the Clean Air Act of 1970. See, e.g. *Hallstrom*, 493 U.S. at 29 (examining the legislative history of the Clean Air Act citizen suit provision in construing the RCRA citizen suit).

⁵ Most notably, as the legislative history of the 1984 RCRA amendments demonstrates, Congress was concerned that a number of state law claims available to plaintiffs could be added to RCRA federal court suits under the doctrine of pendent jurisdiction. (Pet. Br., pp. 31-32) Congress expressed both its concern for burdening the federal courts with additional damages lawsuits and its awareness that, in the property contamination context, a number of state law causes of action for property damage compensation were already recognized.

would not unduly "interfere" with the CERCLA remedy. (Resp. Br. at 39-43). Respondent misses the point.

The issue is not one of interference but one of Congressional intent. It is noteworthy that CERCLA was enacted as a compromise in the lame duck session of the 96th Congress after a huge legislative effort. As the leading treatise notes:

"By 1980, Congress had been trying for two years to enact some type of legislation to deal with the problem of cleaning up hazardous waste sites. The eventual result - [CERCLA] - was a compromise put together in the last days of the 96th Congress. . . ."

* * *

"The final version of the Act was conceived by an ad hoc committee of Senators who finished a last minute compromise which enabled the Act to pass."

S. Cooke, *The Law of Hazardous Waste* § 12.03(1)(1995); See also *Exxon Corp. v. Hunt*, 475 U.S. 355, 365 n.8 (1986).

To accept the arguments of Respondent and its supporting *amici* would be to accept the proposition that the massive legislative effort and epic compromise necessary to enact CERCLA, with its detailed and limited cost recovery provision, was simply swept away by Congress four years later. It simply does not square with legislative reality to argue that: (1) the 98th Congress intended to create a broader cost recovery in RCRA than it had earlier barely managed to create in CERCLA, (2) that Congress did so in a single phrase in the RCRA statute, although it deemed much lengthier and more comprehensive provisions to be necessary in CERCLA, and (3) that Congress left nary a trace of its bold intentions on this controversial subject in the legislative history.

To the contrary, the existence, comprehensive nature and specific features of CERCLA are very strong evidence that Congress did not intend the RCRA citizen suit provision to provide a mechanism to recover cleanup costs.

D. RCRA Is One of Several Vehicles By Which Citizen Plaintiffs Can Address Property Contamination Issues

Respondent and its supporting *amici* both implicitly and explicitly presume that the RCRA citizen suit provision represents the only vehicle outside of CERCLA to address property contamination cleanup and reimbursement issues. Thus, for example, the argument is oft-repeated in the briefs supporting Respondent that, if plaintiffs like Respondent KFC are only allowed to pursue injunctive relief under RCRA and are only allowed to do so after giving 90 days notice, then contaminated properties will continue to fester for months before any relief can be obtained. (Louisiana *Amicus Br.*, pp. 15-16; Mass., et al. *Amicus Br.*, pp. 24-25; K&B *Amicus Br.*, p. 17; Resp. Br., pp. 36-37.) That argument is fallacious, as confirmed by the KFC experience here.

KFC discovered the contamination in October 1988, fully cleaned it up by March 1989, did not give the 90 day notice until October, 1990, and commenced a state court action in December, 1991, more than three years after it discovered the contamination and well before it filed its RCRA action. (Pet. Br., pp. 4-5, 20.) In its state court complaint, KFC alleged fully ten separate causes of action, nearly all common law, and all seeking to recover KFC's expenditures in cleaning up the site. Several of those causes of action, including nuisance, trespass and negligence, could have served as a basis for injunctive relief in October 1988, when the contamination was first discovered.⁶

Of course, notwithstanding their urgings that a RCRA cost recovery action is necessary to fill a gap in the remedies available to citizen plaintiffs, Respondent and its supporting *amici* fully realize that these state common law and statutory remedies were and are already available to plaintiffs like Respondent. They make passing references to the

⁶ The ten causes of action were for: (1) statutory cost recovery; (2) tortious breach of duty; (3) private nuisance; (4) public nuisance; (5) equitable indemnity; (6) implied contract; (7) ultrahazardous activity; (8) negligence; (9) unlawful business practices; and (10) trespass. Following Petitioners' demurrer, eight of those causes of action were deemed barred by statutes of limitations of up to three years, and two others failed to state a claim on which relief could be granted. It was only after Petitioners successfully demurred to Respondent's complaint that KFC decided to pursue this action in federal court for cost reimbursement under the RCRA citizen suit provision. (Pet. Br., pp. 5-6.)

availability of such relief, but obliquely demean those avenues by referring to "difficulties of proof" which purportedly accompany them (Bi-State *Amicus Br.*, pp. 15-16), and "short" statutes of limitations (Louisiana *Amicus Br.*, p. 3).⁷ But there are no elements of proof in the state common law causes of action available to Respondent that are significantly different from those under RCRA. For example, Respondent KFC would ultimately have to prove under RCRA that a contaminator "caused or contributed" to contamination, and those elements of causation and contribution are inherent in virtually all of the common law theories, including nuisance, trespass, negligence, etc. Neither is the three year statute of limitations which applies to most of Respondent's state law causes of action "short". And in the final analysis, neither the fact that there may be difficulties of proof nor the length of a statute of limitations has any bearing on whether Congress *intended* to afford citizen plaintiffs a cost recovery remedy in the RCRA citizen suit provision.

The fundamental truth is that RCRA has been in existence for about 20 years, and countless plaintiffs, including Respondent KFC have, during those 20 years, found several other common law bases upon which to pursue their claims for cost reimbursement of all manner of contaminated sites (including refined petroleum product contamination which is excluded from CERCLA).

III. FEDERAL DISTRICT COURTS DO NOT HAVE BROAD EQUITABLE JURISDICTION TO AWARD "RESTITUTION" UNDER THE RCRA CITIZEN SUIT PROVISION

The notion of a broad equitable power in the federal courts which would apply to this action will not withstand closer analysis.

⁷ The Massachusetts, et al. amicus brief argues that states lack *statutes* which will afford plaintiffs like Respondent KFC a remedy and that therefore RCRA should provide that remedy for cost reimbursement. (Mass., et al. *Amicus Br.*, p. 3.) But, as Massachusetts and its co-amicus states know, states have numerous common law theories of relief. Indeed, the Massachusetts, et al. brief makes reference to some of those at pages 15-17.

A. Federal Courts Are Courts Of Limited Jurisdiction

Unlike their state counterparts, federal district courts are courts of limited jurisdiction that have not been vested with general, open-ended lawmaking power. *Northwest Airlines v. Transportation Workers Union*, 451 U.S. 77 (1981). As the leading treatise on federal courts states:

"It is a principle of first importance that the federal courts are courts of limited jurisdiction. Most state courts are courts of general jurisdiction, and the presumption is that they have jurisdiction over a particular controversy unless a showing is made to the contrary. The federal courts, on the other hand, cannot be courts of general jurisdiction. They are empowered to hear only such cases as are within the judicial power of the United States, as defined in the Constitution, and had been entrusted to them by a jurisdictional grant by Congress. *Bender v. Williamsport Area School District*, 1988, 106 S.Ct. 1326, 1331; 475 U.S. 534, 541; 89 L.Ed. 2d 501. Because of this unusual nature of the federal courts and because it would be not simply wrong but indeed an unconstitutional invasion of the powers reserved to the states if those courts were to entertain cases not within their jurisdiction, the rule is well settled that the party seeking to invoke the jurisdiction of a federal court must demonstrate that the case is within the competence of such a court. The presumption is that the court lacks jurisdiction in a particular case until it has been demonstrated that jurisdiction over the subject matter exists." *See, Turner v. Bank of No. America*, 4 U.S. 8, 11, 1 L.Ed. 718, 719 (1799). C. Wright, *Law of Federal Courts* § 7 (5th ed. 1994).⁸

Absent a congressional grant of authority to the federal courts to formulate federal common law in the area delineated in a statute, federal courts have general common law jurisdiction in only four narrow areas: (1) cases involving the rights and obligations of the

⁸ Even amicus Bi-State acknowledges that "[O]ur Constitution has relegated to Congress the ultimate say in what remedies, including equitable ones, the lower federal courts may grant", citing Article III of the Constitution. (Bi-State Amicus Br., p. 8.)

United States; (2) cases involving interstate and international disputes implicating the rights of states; (3) cases involving interstate and international disputes implicating relations with foreign nations; and (4) admiralty cases. *See, Texas Indus. v. Radcliff Materials, Inc.*, 451 U.S. 630, 640-641 (1981); *See also Chutich v. Touche-Ross & Co.*, 960 F.2d 721, 724 (8th Cir. 1992). RCRA's citizen suit provision contains no grant of authority to the district courts to formulate general federal common law, and the claims of Respondent KFC, as a private party, do not fall within any of the four narrow areas in which federal courts have general common law jurisdiction. The federal courts thus lack jurisdiction to adjudicate KFC's federal common law claims for damages or for restitution.

B. The Plain Language Of 42 U.S.C. § 6972 Does Not Authorize A Cause Of Action For Restitution

It is well-settled that the starting point for interpreting a statute is the language of the statute itself. *Estate of Cowart v. Wicklos Drilling Co.*, 505 U.S. 469, 112 S.Ct. 2589, 2594, (1992); *Hallstrom v. Tillamook County*, 493 U.S. 20, 25 (1989). When a statute speaks clearly, the judicial inquiry as to its meaning is limited, except in extraordinary circumstances. *Estate of Cowart, supra*.

There are three classes of persons subject to suit under 42 U.S.C. § 6972:

(1) any person alleged to be in violation of any permit, standard, order, etc., which has become effective pursuant to RCRA (§ 6972(a)(1)(A)); or

(2) any person contributing to the past or present handling of any solid or hazardous waste which may present an imminent and substantial endangerment to health or the environment (§ 6972(a)(1)(B) (emphasis added)); or

(3) the Administrator, where the Administrator has failed to perform any non-discretionary act or duty under RCRA (§ 6972(a)(2)).

In the case of an alleged violation, endangerment, or failure by the EPA Administrator, Congress granted district courts jurisdiction under 42 U.S.C. § 6972(a):

(1) to enforce the permit, standard, order, etc., referred to in paragraph (a)(1)(A);

(2) *to restrain* any person contributing to the past or present handling of any solid or hazardous waste [which may present an imminent and substantial endangerment to health or the environment];

(3) *to order* such person *to take such other action* as may be necessary, or both;

(4) *to order* the Administrator to perform the act or duty referred to in paragraph (2); or

(5) *to apply* any appropriate civil penalties under 42 U.S.C. § 6928(a) and (g) (emphasis added).

Any reasonable construction of these provisions leaves no doubt that RCRA does not create a cause of action in restitution. The plain language of § 6972 provides private citizens with a limited right to bring an enforcement and/or abatement action in a district court against specific classes of persons who are responsible for a violation of federal environmental law that is ongoing at the time that suit is filed.

Respondent argues that the phrase "order such person to take such other action as may be necessary" is not limited to injunctive relief. But this analysis is plainly wrong. Federal courts are courts of limited jurisdiction. *Northwest Airlines, supra*, at 96-97. They are not free to grant any and all relief asked of them, unless such relief is explicitly authorized. They are limited by the enforcement/abatement remedies expressly set forth in statutes which, like RCRA, have elaborate and comprehensive enforcement and remedial abatement provisions.

C. The *Porter-Hecht-Franklin* Line Of Cases Does Not Stand For The Proposition That District Courts Have Inherent Common Law Equity Jurisdiction To Award "Restitution" To Respondent And Similarly Situated Plaintiffs

Respondent and its supporting *amici* argue that a line of cases emanating from *Porter v. Warner Holding Co.*, 328 U.S. 395 (1946) and *Hecht Co. v. Bowles*, 321 U.S. 587 (1944) and more recently exemplified by *Franklin v. Gwinnett Public Schools*, 503 U.S. 60, 112 S.Ct. 1028 (1992) stands for the proposition that federal district courts may award "restitution" to plaintiffs like Respondent under RCRA based on a broad authority residing in federal courts to award equitable relief. This analysis is misguided on several fronts. First, to the extent *Porter* and *Hecht* are based on federal common law equitable jurisdiction, they were actions brought by the United States, not by private

parties like KFC, and arguably within exception (1) (involving the rights and obligations of the United States) noted above. Second and more importantly, Respondent and its supporting *amici* either misread or misquote the principles articulated in those cases. The critical determination by this Court in *Porter* was as follows:

"Unless a statute in so many words, *or by a necessary and inescapable inference*, restricts the court's jurisdiction in equity, the full scope of that jurisdiction is to be recognized and applied."

Id. at 398 (emphasis added).

Although certain of the *amici* supporting Respondent ignore the phrase in *Porter* "or by a necessary and inescapable inference", that is a critical part of the Court's ruling and the analysis of this issue. Here, even assuming that the federal district courts have equitable jurisdiction, there is a necessary and inescapable inference derived from several sources that the district courts' jurisdiction under RCRA's citizen suit provision is limited:

1. The language of the RCRA jurisdictional statement authorizes federal district courts to "restrain" or to "order such person to take such other action as may be necessary, or both". That language restricts the district courts' equity powers significantly more than the broad statutory provision in *Porter*, which authorized the district court to grant "a permanent or temporary injunction, restraining order *or other order*." *Id.* at 397 (emphasis added), and by necessary and inescapable inference restricts the court's equitable authority.

2. As reviewed elsewhere in this brief and in Petitioners' Opening Brief on the Merits, the RCRA notice provisions, citizen suit bar provisions, lack of a statute of limitations, and attorneys fees provisions reaffirm the limited scope of remedies available to citizens under the Act and the necessary and inescapable inference of restrictions on the district court's equity powers.

3. So, too, the antecedent citizen suit provisions in other federal environmental statutes, along with their legislative history, make clear that Congress did not intend environmental citizen suit provisions to spawn federal court litigation to recover costs.

Third, the *Franklin* case has no bearing on the RCRA statute. In *Franklin*, the statute was absolutely silent on the subject of remedies available to an aggrieved plaintiff. Accordingly, this Court determined

that, where a federal statute provides for a general right to sue (even an implied right to sue as in that case but unspecified remedies), the Court will presume the availability of all appropriate remedies, particularly where the legislative history of related statutes evinces no Congressional intent to limit those remedies. (*Id.* at 1032.) By contrast, RCRA provides particularized citizen remedies, and its legislative history and that of related statutes reaffirm the limitations on those remedies.⁹

D. Respondent's Understanding Of The Primary Purpose Of RCRA And Its Role In Statutory Interpretation Is Misplaced

Respondent and its supporting *amici* premise much of their argument concerning the broad relief available under RCRA's citizen suit provision on an assertion that the primary policy underlying the RCRA statute is that "hazardous waste . . . should be treated, stored or disposed of so as to minimize the present and future threat to human health and environment." (Resp. Br. at 36-37.) However, even assuming that that is RCRA's primary purpose, as this Court has previously observed, construing a statute based on the primary purpose of legislation is ill-advised:

"[N]o legislation pursues its purposes at all costs. Deciding what competing values will or will not be sacrificed to the achievement of a particular objective is the very essence of legislative choice – and it frustrates rather than effectuates legislative intent simplistically to assume that whatever furthers the statute's primary objective must be the law."

Rodriguez v. United States, 480 U.S. 522, 525-526 (1987); *PBGC v. LTV Corp.*, 496 U.S. 633, 646-647 (1990).¹⁰

⁹ Respondent and *amici* also claim that the savings clause of RCRA, 42 U.S.C. § 6972(f), saves a private party plaintiff's federal common law causes of action in equity and that those claims may be brought concurrently with a 42 U.S.C. § 6972 action. (Resp. Br., pp. 12-13; K&B *Amicus* Br., pp. 8-9; Mass., et al. *Amicus* Br., pp. 15-17; Louisiana *Amicus* Br., 13-14; Bi-State *Amicus* Br. p. 12.) See 28 U.S.C. § 1367. But this savings clause does no more than preserve existing state law remedies. It does not create or preserve a body of federal common law that is not part of the statute.

¹⁰ See also *Mertens v. Hewitt Assocs.*, ___ U.S. ___, 113 S. Ct. 2063, 2071 (1993) ("vague notions of a statute's 'basic purpose' are nonetheless inadequate to overcome

Moreover, in *Hallstrom v. Tillamook*, this Court recently addressed, and rejected, an argument that the RCRA statute should be construed liberally based on a broad Congressional intent in enacting that statute:

"Rather, the legislative history indicates an intent to strike a balance between encouraging citizen enforcement of environmental regulations and avoiding burdening the federal courts with excessive numbers of citizen suits.

* * *

Giving full effect to the words of the statute preserves the compromise struck by Congress."

Id., 493 U.S. 20, 29 (1989).

In any event, RCRA is primarily a regulatory statute that created a "prospective cradle-to-grave regulatory regime governing the movement of hazardous waste in our society." *U.S. v. Aceto Agric. Chem. Corp.*, 872 F.2d 1373, 1380 (8th Cir. 1989); see also *City of Chicago v. Env'tl Defense Fund*, ___ U.S. ___, 114 S. Ct. 1588, 1590 (1994). And even though, as Respondent concedes, RCRA's primary purpose is to ensure proper treatment, storage and disposal of hazardous waste, RCRA's primary purpose is *not* to ensure *cleanup* of improperly disposed waste; that is the primary purpose of another comprehensive federal statute: CERCLA.

IV. RESPONDENT'S CLAIM FOR MONETARY REIMBURSEMENT IS NOT A CLAIM FOR EQUITABLE RESTITUTION

Equitable restitution requires that something wrongfully taken from a plaintiff be returned by a defendant. Thus, monies wrongfully collected by defendant may be restored to a plaintiff (*Porter, supra*), or personal property taken from a plaintiff may be ordered returned by defendant. D. Dobbs, *Law of Remedies, infra*.

But equitable restitution is a narrowly drawn remedy. It is not a substitute for every damages claim in which a plaintiff seeks to be compensated for out of pocket losses. The authorities make this clear:

the words of the text regarding the *specific* issue under consideration").

"Restitution measures the remedy by the defendant's gain and seeks to force disgorgement of that gain. It differs in its goal or principle from damages, which measures the remedy by the plaintiff's loss and seeks to provide compensation for that loss."

* * *

"The word restitution means restoration. Restitution is a return or restoration of what the defendant has gained in a transaction."

D. Dobbs, *Law of Remedies* § 4.1(l) at 555 (2d ed. 1993).

If Respondent's claim here can be characterized as equitable restitution, then virtually any damages claim can be so denominated. Equitable restitution is not a safety net for plaintiffs who are otherwise barred from bringing a damages claim.

Respondent argues that the restitutionary relief it seeks is not tantamount to an award of damages. But none of the cases cited by Respondent support the proposition that restitution is available here.¹¹

¹¹ For example, Respondent cites *Porter* for support, but the holding in that case is unavailing. In *Porter*, the Administrator of the Office of Price Administration sought an injunction restraining future overcharges and requiring the landlord to return to the tenants the excess rents collected. 328 U.S. at 396-397. But, as noted above, *Porter* is a statutory interpretation case involving a statute significantly different from that here. Moreover, what was properly characterized as restitution in *Porter* was the classic case of a plaintiff seeking the disgorgement of ill-gotten gains secured in a transaction. *In re Acushnet River & New Bedford Harbor*, 712 F.Supp. 994, 1002 (D. Mass. 1989).

Neither is *Wyandotte Transp. Co. v. United States*, 389 U.S. 191 (1967), on point. *Wyandotte* was an implied right of action case, not a case equating a damages claim with an equitable restitution claim. *In re Acushnet River*, *supra*. Moreover, the Court expressly observed that *Wyandotte's* interpretation was contrary to: (1) the Court's prior construction of the Act, (2) the Court's decisions on analogous issues of statutory construction and (3) a major related federal statute and that *Wyandotte's* interpretation lacked any indicia of Congressional intent. The parallels to Respondent's assertions here are close.

The other Supreme Court precedent cited by Respondent, *Tull v. United States*, 481 U.S. 412 (1987), actually supports Petitioners. In *Tull*, the United States sought injunctive relief and civil penalties under the Clean Water Act. In assessing the petitioner's argument that he was entitled to a jury trial, this Court analyzed whether the civil penalties sought by the United States were legal or equitable in nature. The Court firmly rejected the government's argument that such penalties, even when determined by

Indeed, in attempting to distinguish this Court's decision in *Middlesex County Sewerage Authority v. National Sea Clammers Assn.*, 453 U.S. 1 (1981) ("*Sea Clammers*"), Respondent actually points the way for Petitioners and for the Court. Respondent argues:

"*Sea Clammers* is not the controlling precedent in this case for the simple reason that the *Sea Clammers* plaintiffs, unlike Respondent, truly were seeking 'damages' – a term this Court has defined to mean relief 'intended to provide a victim with monetary compensation for an injury to his person, property or reputation' and as distinguished from equitable actions for specific relief such as restitutionary awards of back pay."

Resp. Br. p. 23 (emphasis added).

We could not agree more. What Respondent seeks here is *compensation for an injury to its property*, and that certainly is distinguished from an equitable action for specific relief such as restitutionary awards of back-pay, or return of specific property, as we noted at the outset of this section.¹²

V. A RCRA CITIZEN SUIT CLAIM MAY BE FILED ONLY WHEN AN ENDANGERMENT EXISTS

Respondent and its *amici* urge that the "imminent and substantial endangerment" referred to in the RCRA citizen suit provision describes the nature of the solid or hazardous waste and not the conditions of contamination at the time suit is filed. Respondent relies on the subsection of the RCRA citizen suit provision that describes potential defendants and provides that an action may be commenced:

reference to profits earned, are in the nature of restitution. The Court noted that restitution "is limited to restoring the status quo and ordering the return of that which rightfully belongs to the purchaser or tenant," (citing *Porter*). *Id.* at 424.

¹² Even assuming, *arguendo*, that what Respondent seeks can properly be characterized as "restitution," that does not end the inquiry. Respondents assume that a restitutionary remedy is necessarily an equitable remedy. It is well to remember that the jurisdiction of the law courts and equity courts overlapped with respect to restitution. Indeed, the leading treatise notes that: "[r]estitution claims for money are usually claims at law." D. Dobbs, *Law of Remedies* § 4.1(l) at 556. See also *In re Acushnet River*, *supra*, at 1001-1003.

"against any person . . . who has contributed to the past or present handling, storage, treatment, transportation, or disposal of any solid or hazardous waste which may present an imminent and substantial endangerment to health or the environment."

42 U.S.C. § 6972(a)(1)(B).

But the fair reading of this subsection is that suit can be brought against persons who have engaged in or are engaging in certain activities with respect to solid or hazardous waste that "may [presently] present" an endangerment. In other words, suit can be brought when an endangerment exists. This construction is confirmed by a straightforward reading of the subsection and by other subsections of the citizen suit provision:

1. The statute elsewhere provides that a RCRA citizen suit "shall be brought in the district court for the district in which . . . the alleged endangerment may occur." 42 U.S.C. § 6972(a). This provision clearly indicates that suit may be filed where a current threat exists. The use of the present tense "may occur" allows for no other conclusion. This provision clearly does *not* contemplate filing of suits where a current threat no longer exists.

2. The notice provision provides that no action may be commenced prior to 90 days after notice to "the State in which the alleged endangerment may occur." 42 U.S.C. § 6972(b)(2)(A)(ii).

3. The citizen suit provision states that no such action may be commenced if the EPA has taken specified abatement actions in response to the activities "which may present the alleged endangerment." 42 U.S.C. 6972(b)(2)(B).

Thus, the statutory language unambiguously allows suit only where an endangerment exists. The legislative history is completely consistent. The House Committee report states that the RCRA citizen suit provision:

"Confers on citizens a limited right under section 7002 [42 U.S.C. § 6972] to sue to abate an imminent and substantial endangerment. . . ."

H.R. Rep. No. 198, 98th Cong., 2d Sess. (1984), reprinted in 1984 U.S.C.C.A.N. 5576, 5612.

VI. RESPONDENT'S ATTEMPTS TO DISTINGUISH *CORT V. ASH* ARE UNAVALING

Petitioners have argued that the RCRA citizen suit provision does not expressly provide a right of action for the recovery of cleanup costs. Pet. Br. 13-16. Therefore, for such a right of action to exist, it must be implied and must meet the test of *Cort v. Ash*, 422 U.S. 66 (1975). Respondent and its *amici* counter that the RCRA citizen suit does expressly provide a right of action to citizens and that Respondent merely seeks to imply a *remedy*, so *Cort v. Ash* is inapplicable. But this is a distinction without a difference.

As the Court expressly noted in *Sea Clammers* in discussing the *Cort v. Ash* test:

"In *Cort v. Ash*, 422 U.S. 66, 78, 95 S.Ct. 2080, 2088, 45 L.Ed.2d 26 (1975), the Court identified several factors that are relevant to the question of implied private *remedies*."

Sea Clammers, *supra*, at 17 (emphasis added.)

And as the Court has elsewhere noted:

"It is an elemental canon of statutory construction that where a statute expressly provides a particular *remedy* or *remedies*, a court must be chary of reading others into it."

Transamerica Mortgage Advisors, Inc. v. Lewis, 444 U.S., 11, 19 (1979); (emphasis added).

This Court has also stated that:

"In the absence of strong indicia of a contrary congressional intent, we are compelled to conclude that Congress provided precisely the *remedies* it considered appropriate."

Sea Clammers, 453 U.S. at 15 (emphasis added).

VII. THIS COURT SHOULD RESOLVE BOTH OF THE ISSUES BEFORE IT IN THE INTERESTS OF JUDICIAL ECONOMY AND BECAUSE A CONFLICT EXISTS IN THE CIRCUITS AS TO BOTH OF THOSE ISSUES

The Petition for Writ of Certiorari filed with this Court presented two questions for review: (1)"whether the citizen suit provision of RCRA . . . authorizes a private party suit for reimbursement of cleanup costs" and (2)"whether the citizen suit provision of RCRA . . . can be

used to authorize a suit for contamination that was fully remediated years before commencement of suit." This Court granted certiorari as to both issues.

The United States argues that it is only necessary for this Court to reach one of the two issues presented to this Court, the imminent and substantial endangerment issue. To the contrary, both should be resolved here. Both were accepted for review by the Court, and the interests of judicial economy would be served by resolving both now. See *Weinberger v. Romero-Barcelo*, 465 U.S. 305, 321-322 (1982) (Powell, J. concurring).

Moreover, a conflict clearly exists between the Eighth and Ninth Circuits as to the second issue: the right of citizen plaintiffs to recover cleanup costs under RCRA. The Court of Appeals for the Ninth Circuit held that RCRA authorizes a restitutionary remedy. *KFC Western Inc. v. Meghriq*, 49 F.3d at 521. The Eighth Circuit had held that the RCRA citizen suit "on its face does not provide for the recovery of remediation costs." *Furrer v. Brown*, 62 F.3d at 1095 (8th Cir. 1995).

VIII. CONCLUSION

The judgment of the Court of Appeals for the Ninth Circuit should be reversed. The opinion of the Ninth Circuit should be vacated and the case dismissed.

Dated: December 28, 1995.

Respectfully submitted,

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